Final Project

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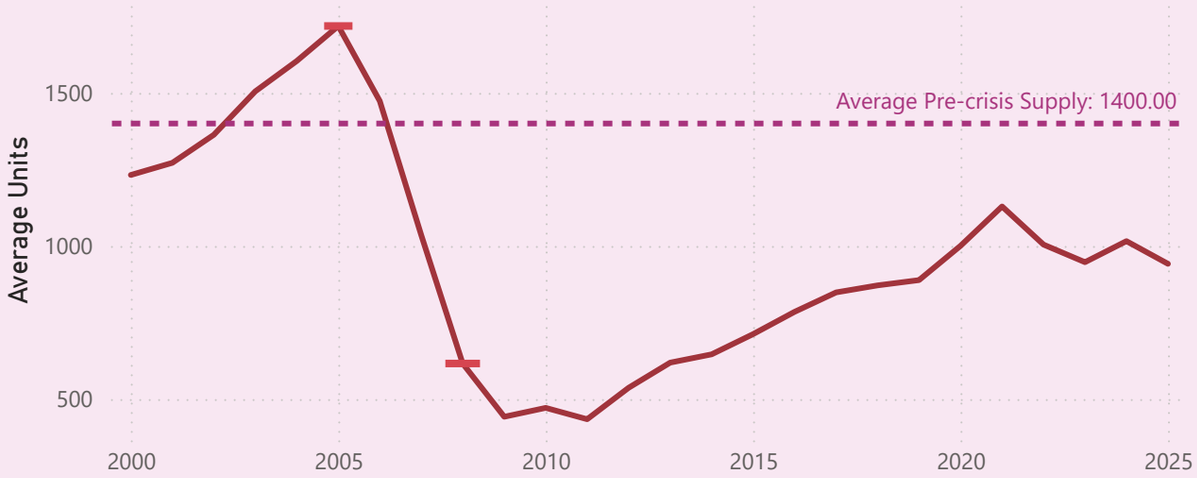
Position:

The U.S. housing affordability crisis for first-time millennial buyers is rooted in the collapse of homebuilding after 2008 which permanently starved the market of supply. When mortgage rates increased in 2022, buyers faced record-high prices and record-high borrowing costs simultaneously. However, geographic opportunity still exists in stable, affordable metros where people can enter the market today.

Data Source: Federal Reserve Bank of St.Louis (FRED)
Zillow Research Data

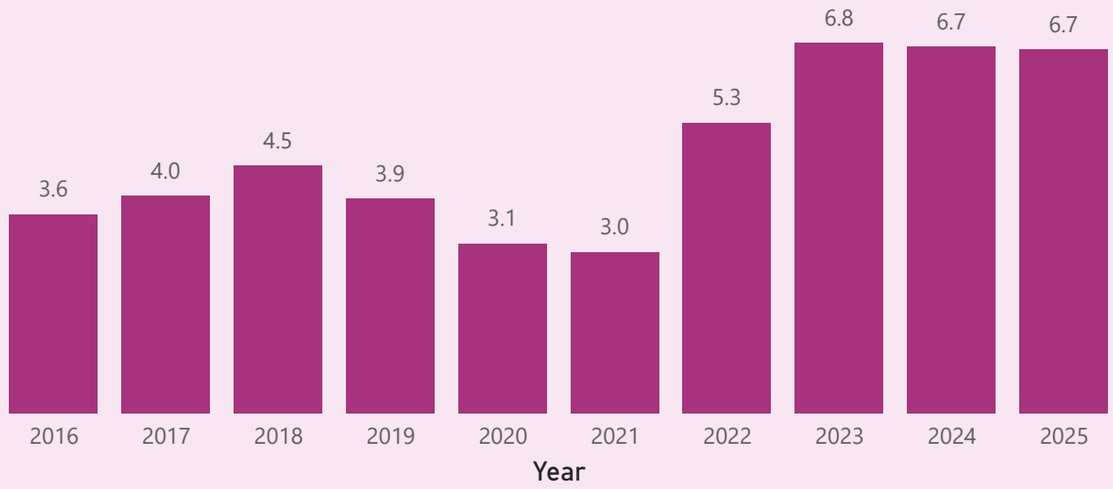
The Collapse That Started It All

U.S. Single-Family Housing Starts 2000–2025



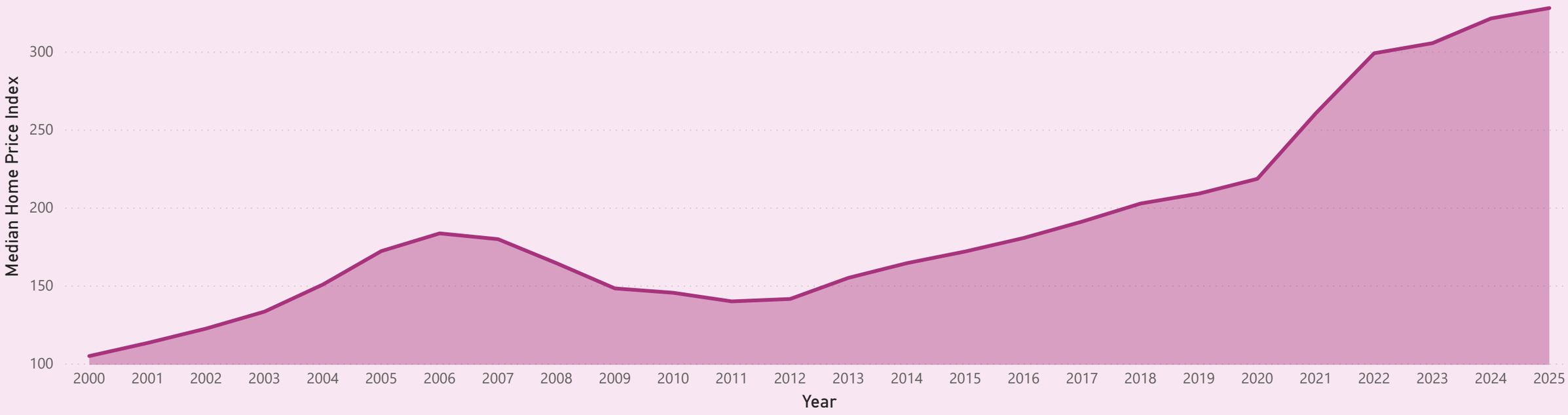
Higher Borrowing Cost

Median Mortgage Rates 2016 - 2025



The Price Burden Keeps Growing

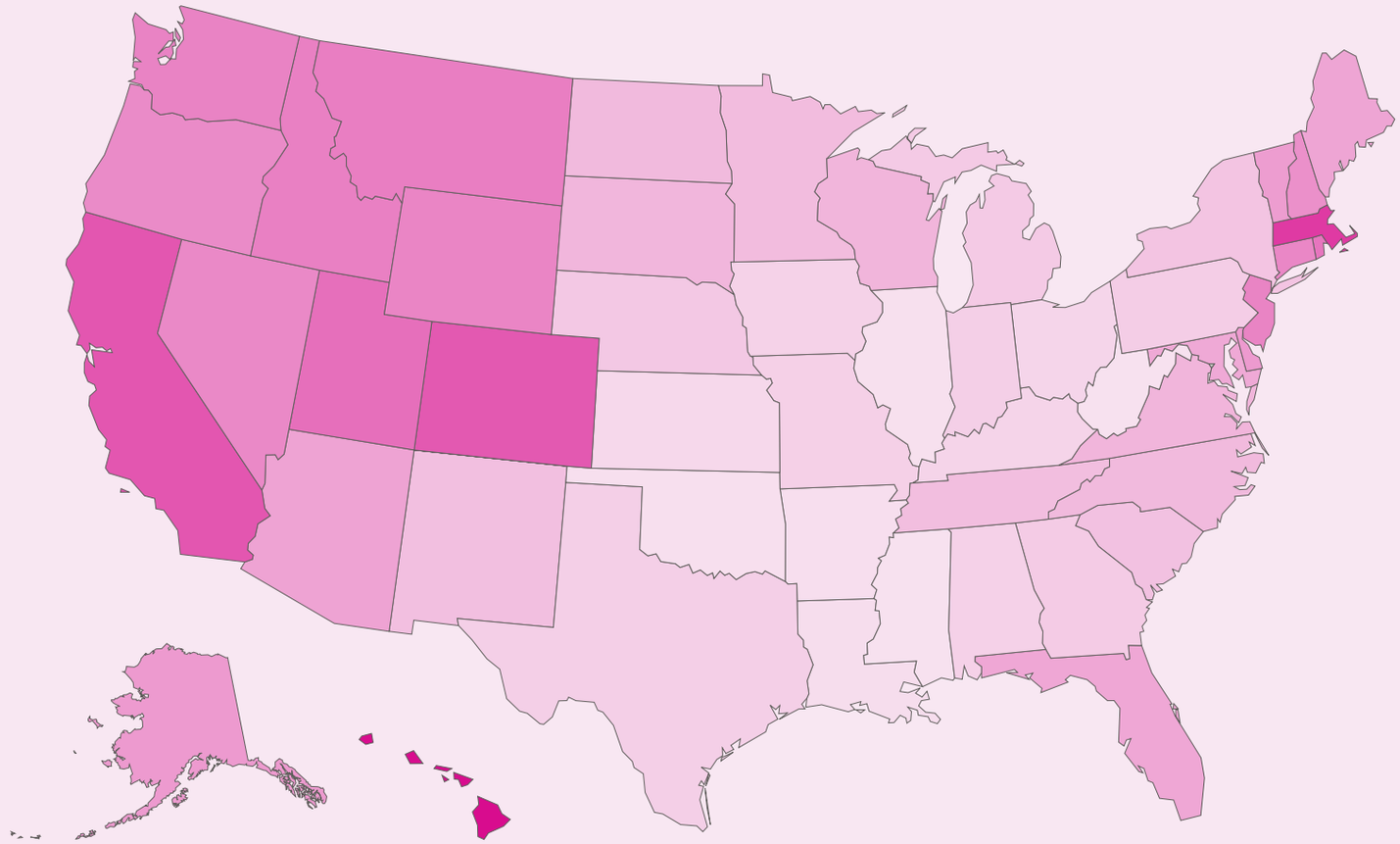
Home Price Index 2000–2025



Post Crisis
Pre Crisis
A Generation Locked Out
Homeownership Rate by Age Group
Ownership Rate (%)
80
70
60
50
40
30
2009
2010
2011
2012
2013
2014
2015
2016
2017
2018
2019
2020
2021
2022
2023
2024
2025
year
35 to 44
45 to 54
55 to 64
65 and over
Under 35

The Crisis Is Not Equal Across America

Average Home Price by State



Top 5 Expensive States

StateName	Average Home Price
HI	856614
MA	705952
CA	616317
CO	606409
UT	534009

Top 5 Affordable States

StateName	Average Home Price
WV	164884
MS	165343
IL	169013
OK	172714
AR	174216